SUMMARY:

- SCF RC Funding I LLC acquired three (3) Grease Monkey auto repair facilities in North Carolina for $3,000,000 at a 7.65% cap rate on May 1st, 2018.
- In addition, SCF RC Funding IV LLC acquired six (6) Grease Monkey auto repair facilities and one (1) car wash located in Colorado for $6,547,687 at a 7.00% cap rate on January 7th, 2019.
- In January of 2020, Grease Monkey acquired eight (8) American LubeFast sites and assumed the EPRT leases on those locations.
- In January of 2020, the car wash located in Brighton, CO was sold for $450,000 representing a 7.30% cap rate. The car wash was sold as it was closed as well as to mitigate the risk associated with the property which had a different lease structure than the remaining Grease Monkey auto repair sites. EPRT was responsible for the roof, car washing bays, parking area, plumbing/water supply to backflow preventer, electrical systems, and supply to the breaker box in the rear of the building. An agreement with Grease Monkey was made to reduce the Master Lease Rent by $32,400 in 2020 as a result of the sale.
- In April of 2020, Grease Monkey expressed concern about their upcoming rent payments as a result of COVID-19 and requested short-term rent relief. EPRT provided a lease incentive of $337K to Grease Monkey and in return all leases were extended until April 30, 2035. The lease incentive provided for 100% rent payments from April – June and 25% rent payments from July – September.
- EPRT engaged Marcus & Millichap to market the Thornton, CO site with an agreed listing price of $984,000 representing a 6.00% cap rate. The agreed upon purchase price for the site is $937,000 representing a 6.30% cap rate.
- EPRT has sold the Fort Lupton, CO and Longmont, CO sites and is under contract to sell the Brighton, CO: and Garden City, CO sites. The aggregate coverage for the 12 remaining Grease Monkey sites will improve from 3.24x to 3.56x once the sale of the 5 Colorado sites takes place.

Subject Property														
Concept	*Industry*	*Address*	*City*	*ST*	*Year Built*	*Bldg SF*	*Land AC*	*Initial Investment*	*Disposition Price*	*Price PSF*	*Cap Rate*	*Rent*	*Coverage*
Grease Monkey	Automotive Service	8885 N. Washington St	Thornton	CO	1980	1,799	0.33	$ 842.2	$ 937.0	520.84	6.30%	59.0	1.04

*Data has been provided in thousands except for building square feet, land AC, and price per square foot

Estimated Gain/(Loss):

Gain(Loss) on Initial Inv.		
Sale Price	$	937,000
Initial Inv.		(842,215)
Transaction Costs		(42,480)
Gain(Loss)	$	52,305

Gain(Loss) following GAAP		
Sale Price	$	937,000
NBV		(824,419)
Transaction Costs		(42,480)
Gain(Loss)	$	70,101

Transaction Costs		
Commission	$	37,480.00
Legal		5,000.00
Other		-
Total		42,480.00

Properties in Master Lease: Yes **No X**

Properties in Master Trust: Yes **No X**

1031 Exchange **Yes X** No

REQUESTED APPROVAL: It is requested that Essential Properties consent to the sale of the Thornton, CO site to mitigate the risk associated with the Grease Monkey concept.

Buyer: **M&Y Investment LLC**
Sale Price: **$937,000**
Cap Rate: **6.30%**
Closing: **November 18th, 2020**

Closing Costs: Purchaser shall pay for all costs associated with its diligence activities, including without limitation, the cost of updates (if any) to the survey provided by Seller and any new survey, and the cost of any Phase I environmental site assessment obtained by Purchaser. Each party shall pay its own legal fees incurred in connection with the Transaction. Seller shall pay the premium for the Title Policy (excluding endorsements), title search costs, recording cost for releases of liens created by, though, or at the direction of Seller, and all real estate transfer taxes customarily paid by Seller with respect to the sale of commercial properties in the jurisdiction in which the Property is located. Purchaser shall pay the premium for all endorsements to the Title Policy requested by Purchaser, the premium for any lender's title policy and endorsements thereto and any other costs relating to Purchaser's financing (if any), and all recording costs (excluding releases referenced in the preceding sentence). Purchaser and Seller shall each pay for one-half (1/2) of escrow fees charged by the Title Company. Any other closing costs shall be paid in accordance with the local custom for commercial real estate transaction in the jurisdiction in which the Property is located.

Approvals:

Peter Mavoides, CFO
Essential Properties

Gregg Seibert, COO
Essential Properties

Company Overview: Grease Monkey International("GMI") currently owns more than 100 retail sites and 450 franchises across the United States and Latin America. The Company remains independent, with a focus on servicing vehicles and not selling a particular oil product.

Unit Economics: The subject unit generated $438K in sales and $61K in EBITDAR as of May 2020 TTM which translated into a 1.04x coverage based upon the breakout rent. As of May 2020 TTM, the remaining 12 Grease Monkey units generated sales and EBITDAR of $7.1M and $2.66M respectively, translating to a rent coverage of 3.56x. The proposed coverage for the 12 remaining Grease Monkey sites will improve from 3.24x to 3.56x once the sale of the five CO sites takes place in September/October.

Subject Unit												
Property ID	*Address*	*City*	*ST*	*Bldg SF*	*May 2020 TTM Sales*	*FYE 2019 Sales*	*% Change*	*EBITDAR*	*EBITDAR Margin*	*Rent*	*FCC*
56506	8885 N. Washington St.	Thornton	CO	1,799	$ 437.8	$ 487.6	-10.2%	$ 61.3	14.0%	$ 59.0	1.04

Remaining Properties											
Property ID	*Address*	*City*	*ST*	*Bldg SF*	*May 2020 TTM Sales*	*FYE 2019 Sales*	*% Change*	*EBITDAR*	*EBITDAR Margin*	*Rent*	*FCC*
56805	2311 N Slappey Blvd	Albany	GA	2,504	666.1	613.0	8.7%	325.2	48.8%	66.0	4.93
56806	829 E Shotwelll St	Bainbridge	GA	1,797	484.9	515.0	-5.8%	201.7	41.6%	52.8	3.82
56807	808 Willowbrook Dr	Hinesville	GA	1,830	461.1	376.0	22.6%	203.6	44.2%	52.8	3.86
56808	3946 Northside Dr	Macon	GA	2,899	431.7	478.0	-9.7%	160.3	37.1%	39.6	4.05
56809	1304 Washington St.	Perry	GA	2,360	495.2	598.0	-17.2%	199.5	40.3%	46.2	4.32
56810	107 E Northside Dr	Valdosta	GA	2,404	555.0	525.0	5.7%	243.8	43.9%	46.2	5.28
56811	1672 E Main St	Pratville	AL	2,380	755.7	871.0	-13.2%	355.0	47.0%	79.2	4.48
56812	2701 Bell Rd	Montgomery	AL	2,278	193.2	229.0	-15.6%	31.8	16.5%	39.6	0.80
56365	2280 Ten Ten Rd	Apex	NC	2,139	518.2	538.2	-3.7%	110.2	21.3%	50.0	2.20
56366	928 N. Main St	Holly Springs	NC	3,502	858.3	976.8	-12.1%	298.3	34.8%	120.0	2.49
56367	1110 N. Main St	Fuquay Varina	NC	2,418	671.4	697.4	-3.7%	217.2	32.4%	59.5	3.65
56504	4114 E. Bromley Ln	Brighton	CO	2,540	1,009.9	1,109.2	-9.0%	312.5	30.9%	95.0	3.29
Total:				**29,051**	**$ 7,100.7**	**$ 7,526.6**	**-5.7%**	**$ 2,659.1**	**37.4%**	**$ 746.9**	**3.56**
Average:				**2,421**	**$ 591.7**	**$ 627.2**		**$ 221.6**		**$ 46.7**	

*Data has been provided in thousands except for building square feet

Corporate Credit:

Below are the financials for COP GM Holdings, LLC and its subsidiaries (the holding company of the corporate guarantor and tenant). COP GM Holdings, LLC was formed on 9/13/17 to acquire the entire membership interest of Grease Monkey International and Grease Monkey Franchise. In November of 2017, CenterOak Partners acquired COP GM Holdings, LLC for $126M. As of FYE'19, the company generated total sales and EBITDAR of $114.1M and $24.9M, respectively translating to an EBITDAR margin of 21.8% and an improvement in FCC coverage from 0.82x to 1.03x. FCC On November 1, 2017, the Company entered into a joint and several loan agreement facility to borrow up to a total of $73M under a revolving line of credit, a term loan and a delayed draw term loan commitment. Additionally, on November 1, 2017, the Company also entered into a subordinated joint and several loan agreements with a mezzanine lender, to borrow up to a total of $23.6M. The lender is Golub Capital, a middle market lender with over $25 billion of capital under management. As of FYE'19, $5.5M was outstanding under the revolving line of credit and $44.6M was outstanding under the term loan. As of FYE'19, the company was highly leveraged with a lease-adjusted leverage of 8.87x largely due to increases in long-term debt but was in compliance with all debt covenants.

COP GM Holdings, LLC
Balance Sheet (000's)

	FYE 12/31/2018	FYE 12/31/2019
Assets		
Cash	$ 2,192	$ 2,845
Restricted Cash	$ 1,139	$ 1,853
A/R	3,875	3,139
Inventory/Supplies	2,598	2,402
Prepaids	1,931	2,348
Total Current Assets	11,735	12,587
Net PP&E	15,189	13,858
Deposits	-	-
Goodwill	133,577	133,304
Other Assets	892	1,457
Total Assets	**$ 161,393**	**$ 161,206**
Liabilities and shareholder's equity		
Current Maturities	$ 843	$ 874
Accounts Payable	1,406	4,343
Accruals	8,430	5,881
Capital Lease Obligations	178	190
Other Payable		
Total Current Liabilities	10,857	11,288
Other Long-Term Liabilites	2,671	3,106
Notes Payable	103,213	111,690
Total Liabilities	**$ 116,741**	**$ 126,084**
Shareholders' Equity		
Equity	$ 44,652	$ 35,122
Total shareholders' equity	**$ 44,652**	**$ 35,122**
Total liabilities and shareholders' equity	**$ 161,393**	**$ 161,206**

COP GM Holdings, LLC
Income Statement (000's)

	FYE 12/31/2018	FYE 12/31/2019
Y-o-Y%		*33.13%*
Sales	$ 85,683	$ 114,066
Cost of Goods Sold	18,061	20,881
Gross Profit	67,622	93,185
Gross profit margin	*78.9%*	*81.7%*
Operating Expenses	19,403	29,350
Personnel Expense	32,651	38,944
Other Income	-	-
EBITDAR	**15,568**	**24,891**
EBITDAR margin	***18.2%***	***21.8%***
Rent	11,296	13,523
EBITDA	**4,272**	**11,368**
EBITDA margin	***5.0%***	***10.0%***
Depreciation Expense	8,001	11,094
Amortization Expense	-	-
Non-recurring	(439)	189
Interest Expense	6,853	9,747
Net Income	**$ (10,143)**	**$ (9,662)**
EBITDAR coverage	0.86	1.07
Fixed-charge coverage	0.82	1.03
Lease-adjusted leverage	12.49	8.87
Funded debt/EBITDA	24.36	9.90

Recommendation:

It is recommended that Essential Properties consent to the sale of the subject site to improve the overall master lease coverage for the Grease Monkey portfolio and mitigate the risk associated with the concept.

Exhibit A: Photographs, Aerials and Competitive Landscape:

Demographics												
			Year	Bldg	Land		1-Mile	3-Mile	5-Mile	1-Mile	3-Mile	5-Mile
Address	*City*	*ST*	*Built*	*SF*	*AC*	*VPD*	*Population*			*Household Income*		
8885 N. Washington St.	Thornton	CO	1980	1,799	0.33	28,300	18,590	147,188	309,337	$51,897	$56,422	$60,669